

E-Commerce Sales Analysis

Business Performance Report | 2021–2025

1. Executive Summary

The business generated **206.3M in total revenue** from **138,116 orders** and **24,911 customers** between 2021 and 2025.

Overall annual revenue remained relatively stable at around **41M per year**, but sales show a strong seasonal pattern. **November and December are consistently the strongest months**, while **February is the weakest**.

Electronics is the largest revenue-generating category, contributing **44.5M (21.6%)** of total revenue. The overall order return rate is **6.85%**.

Discounted transactions generated **152.6M**, representing approximately **86% of reported sales**, making discount strategy an important area for further evaluation.

2. Sales Performance

KPI	Result
Total Revenue	206.3M
Total Orders	138,116
Customers	24,911
Average Order Value	1,282.50
Average Items per Order	5
Return Rate	6.85%

Key Finding

Revenue has remained broadly stable over the five-year period, with annual sales staying close to 41M.

This indicates a stable business base, while the main variation comes from **seasonal demand rather than long-term changes in annual revenue**.

3. Revenue Seasonality

The strongest months are:

- **December:** 6.34M average revenue
- **November:** 5.87M
- **July:** 3.43M

The weakest months are:

- **February:** 2.17M
- **January:** 2.62M
- **April:** 2.72M

December generates almost **3× the average revenue of February**.

Business Implication

The business should prepare inventory, marketing activity, and operational capacity ahead of the **November–December peak**, while targeted campaigns could be considered during weaker months such as February.

4. Category Performance

Category	Revenue
Electronics	44.5M
Jewelry	27.7M
Home Appliances	26.9M
Automotive	17.7M
Sports	16.9M

Electronics is the leading category, generating **21.6% of total revenue**.

The top three categories — **Electronics, Jewelry, and Home Appliances** — generate **approximately 48% of total revenue**.

Business Implication

These categories represent the largest revenue drivers and should receive particular attention when planning inventory, promotions, and future growth initiatives.

5. Orders & Returns

Order Status	Orders	Share
Completed	128,654	93.15%
Returned	9,462	6.85%

The majority of orders are successfully completed, while nearly **7 out of every 100 orders are returned**.

Business Implication

Returns should be investigated at product and category level to identify whether specific products are responsible for a disproportionate share of returns.

6. Customer Behavior

The business has **24,911 unique customers**.

Based on the current repeat-customer classification:

- Returning customers: **24,577**
- Non-returning customers: **334**

This indicates a highly repeat-oriented customer base according to the current classification.

Business Implication

Understanding which customers generate the most revenue and how frequently they purchase can help identify high-value customers and opportunities for retention and upselling.

7. Discount Performance

Discount Status	Sales
With Discount	152.6M
Without Discount	24.5M

Approximately **86% of reported sales are associated with discounted transactions**.

Business Implication

Discounts are a major part of the current sales activity. Their effectiveness should be evaluated against **order value, return rate, and profitability** to determine whether discounts are generating additional demand or mainly reducing selling prices.

8. Key Business Takeaways

1. **Revenue is stable**, averaging around 41M annually.
2. **November and December are the strongest sales months**, creating a clear seasonal opportunity.
3. **February is consistently the weakest month** and may benefit from targeted demand-generation campaigns.
4. **Electronics is the largest revenue contributor**, followed by Jewelry and Home Appliances.
5. **6.85% of orders are returned**, making return analysis an important operational opportunity.
6. **Discounted sales represent approximately 86% of reported sales**, requiring further profitability analysis.
7. Customer activity appears highly repeat-oriented based on the current customer classification.

Recommended Priorities

1. **Prepare early for the November–December peak.**
2. **Investigate the causes of February's lower sales.**
3. **Analyze returns by product and category.**
4. **Evaluate discount effectiveness using profitability and customer behavior.**
5. **Identify high-value customers and opportunities to increase repeat purchases.**